SECTION "C"

LONG QUESTION ANSWER

What is Economics About?

Q. What do you understand by Economics?

- **What relationship does Economics maintain with human life? Discuss.**
- **Highlight the Economic Problem.**

Answer: Professor Alfred Marshall, defining Economics, said:

"Economics studies routine life of man."

If we have a glance on the society, we come to know that every one who lives in the civilized world is engage in some activity. This constant striving of the people revolves around a center and it is the earning of resources because he satisfies his needs through the consumption of these earned means. In other words, the central point of the human activities is either to earn or spending the earned resources. When we intend to consume the resource (money) earned through our efforts, it is our earnest desire as a consumer to pay minimum to have the goods so that we could have the maximum satisfaction.

On the other side, the people who come to sell the goods in the market, they manufacture or produce the goods first and they want to produce them at the minimum possible cost so that they could earn maximum profits. Despite this fact, if we have a deeper look we will have to realize that the society can't be bifurcated into the producers and consumers society because every consumer, this way or that way, is the producer and similarly every producer is also the consumer. In other words every consumer and the producer wants to get the maximum return of his efforts.

There is a thick forest of wants in which the modern man has been stuck up. The unlimited wants pressurize the man to satisfy them but the tragedy is that he has very limited means to satisfy unlimited wants. In other words, the man is the victim of abundance of wants and the scarcity of means. The man, in this way, is the victim of the following problems:

a. Getting maximum returns.
b. Getting maximum satisfaction.
c. Satisfaction of unlimited wants with the help of limited means.

When a man, to face these problems, makes efforts, he becomes concerned with Economics because without studying Economics we can't reach the Economic Laws which are the real solution to these problems. In the light of this discussion, if the question is raised again that:

What is Economics about?

The answer to this question will be that the guiding principles that are followed to make Economics life happy and prosperous are called Economic behaviours. In other words, Economics, through determining the economics behaviour, culminates the dream of economic prosperity into the reality.

the main economic issue. In the other words, how should a man select the scarce means to satisfy the matter of economic study is the selection of wants to satisfy.

CRITICISM

Robbin's work "The Nature And Significance Economic Science" was published in 1932 in which he evolved the definition of Economics as cited above. This definition was criticized by Wooten, Bewage, Cannon and Pegue as under.

1. According to Robbins, Economics is a neutral science or it is Science not an Art. In other words, this is not the function of Economics to suggest that what should be a particular situation but only this that what is a particular situation? Robbins is the victim of anomaly when he says that the government should not intervene the personal economic affairs. In other words, here Economics is suggesting.
2. The fact is that Economics is a positive Science (science) as well as 'Normative Science' (art).
3. Economics is not a certain branch of knowledge as concluded by Robbins like Chemistry or Mathematics, Economics is a social which is subject to change every time. It can't be decided about a man that he will adopt a particular behaiour all the time particular situation or all the people will adopt the same behaviour in a particular situation.
4. No economist can be neutral in his life may he be claim so.
5. Robin's definition, no doubt, is free of defect nevertheless, this definition expanded the scope of economics very much. He conditioned the economic problem with the scarcity of means and abundance of wants because the same is the economic issue. Whenever a bahaviour is adopted to solve this problem, it concerns with the subject mater of economics.

. Explain the nature of Economics.

- **Is Economics is a positive Science or a Normative Science? Explain.**
- **"Economics is a Science as well as an art." Elucidate the statement.**

nswer: *All the modern branches of life could be classified in to either Science or Art but a debate is ntinued for the long past about the nature of economics that what tupe of the branch of knowledge, it whether a Science or an Art? Before deciding about the fate of economics, it seems imperative to ow that what is science or what in as art?*

IENCE

Science has been defined as under:

"Science is a systematic body of knowledge based on the neutral observation

And experience and also explains the relationship between cause and

Effect."

In other light of this definition, there are two possible kinds of science as under:

Q. Why do the changes take place in the demand? Explain.

- Highlight the causes of change in demand.
- Discuss the factors of change in demand.

Answer: It is common observation that whenever the price of a commodity changes, the demand also change in the opposite direction. Nevertheless, apart from the price, various factors are there which cause the change in demand given as below:

1. **Change In come:** If the income of the consumer changes, the demand also changes despite no change in its price. If the consumer changes, the demand also demand for the goods also increases and fall in the income decreases the demand for the goods related should be kept in view that no change takes place in the demand for the goods related to necessities or if they are very cheap even of the income increases.
2. **Distribution of Wealth:** If the wealth is distributed in such a manner that a part of wealth is transferred from right to the poor commodity in terms of government expenditure from the taxation, the demand for those goods will increase that are purchased by the poor people and simultaneously the demand for the goods which are purchased by the rich will decrease.
3. **Substitute Goods:** It has also been observed in the daily life that if the price of substitutes of a commodity changes. its demand will also change. For instance, if the price of coffee increases, the demand for tea will increase because now the people will make tea a substitute of coffee.
4. **Population:** If the population changes, the demand also increase even if the price Does not decrease. On the contrary, if the population falls, the demand will also decrease.
5. **Fashion:** Demand for goods also changes due to change in fashion, For examples, when Shalwar-Kurta were declared as National Dress, their demand increased and the demand for the western dress decreased.
6. **Season:** The change of season causes the change in the demand for the goods. For instance, demand for the woollen clothes decreases in summer season but the demand for cold drinks increases even no change take place in the prices of these goods, Similarly the demand for refrigerator decrease in winter but the demand for coffee and tea increases. The demand for dry fruits increases in winter seasons.
7. **Quantity of Money:** If the quantity of money increase in circulation due to any reason, the people demand for goods and serves due to appreciation in their purchasing power. On the contrary, if the quantity of money decreases, demand for goods are also decrease.

Q. Define and explain the concept of elasticity of demand.

- **What do you understand by elasticity of demand. Explain.**

Answer: According to the Law of Demand whenever the price of a commodity falls,

Its demand expands and when the price increases, the demand contracts. In other

Words, the opposite change in the world due to change in the price of a commodity is called 'elasticity of demand'. It should be noted here that elasticity does not mean increase and decrease but it refers to 'expansion' and contraction'. The elasticity of demand could be defined as under:

"As a result of changes in the price of a commodity, the opposite change in

Its quantity demanded is termed as elasticity of demand."

Definition of Economics given by Smith .In fact, was misinterpreted and misunderstood and it was given a wrong turn. It was impressed that Smith reduced the importance of man as against wealth because:

"Wealth is for man not the man is for wealth."

Wealth is the mean to reach the end (making economic life happy and prosperous). It is not end in itself because the basic object is man himself. It should be realized that wealth could be used to satisfy mollified aims but does not mean that wealth is a bad thing in itself. Despite of it, Smith's definition is not complete and comprehensive.

Q. Critically analyze the definition of Economics propounded by Alfred Marshall.

- **Give the Marshall's definition of Economics.**
- **"Economics is the study of material welfare." Discuss.**

Answer: Prof. Alfred Marshall occupies an important place amongst the classical economists. Many economists are concerned with classical school of thought including Cannon, Clark, Paretto and Prof. Pegoue. The economists of this school of thought are of the opinion that Economics is the science of material welfare. Marshall, eliminating the shortcomings of Smith's definition, developed another definition of Economics given as under:

> "Economics is the study of man's actions in the ordinary business of life. It inquires how does he get his income and how does he use it. Thus, it is on one side the part of study of wealth but on the more and important side it is the study of man."

Marshall, in his definition, has assigned greater importance to the man as compared to wealth. He has emphasized the following aspects especially in his definition:

a. Economics does not study a specific time and special occasion but it studies the routine of a man from morning till the evening.
b. Economics deals with only those individual and collective human activities which are related to the material welfare and economic welfare.
c. Man is more important than the wealth because wealth is the mean to reach the end (economic welfare) while man is the end in himself.

CRITICISM

Marshall's definition continued to be the most correct definition of economics for a long time but Prof. Robins of London School of Economics criticized the definition by saying that:

a. The term 'material' is vague and confusing in the definition because study of economics confines to the materialism only due to this reason. This is the reason that the productions of non-material goods are not included in the definition of Economics.
b. 'Economics Welfare' is also confusing term because it is a mental phenomena and for claiming any branch of knowledge as scientific it is a must that it should be free from any psychological phenomena because it can't be measured.
c. According to Marshall, only those goods are economic activities which are concerned with the material welfare not the other activities. In other words, man should select the activities according to his liking and delinking. Economics, as a scientific knowledge, is an impartial

2. **Postponement of Use:** If the use of a commodity could be postponed for a future date, its demand would be more elastic as compared to the goods the use of which can't be postponed. For example, the demand for the costly garment is more elastic than the demand for wheat flour.

3. **Substitute Goods:** The demand for the goods which have their substitute are more elastic in demand as compared to the goods which have no substitutes. For instance, coffee and tea and cigarettes and 'Huqqa' are the substitutes of one another.

4. **Necessities of Life:** The demand for necessities are less elastic than the demand for either comforts or luxuries. Nevertheless, it should be noted that a particular commodity may have different positions for different people in different periods. For instance, a fountain pen is luxury for a K.G. student, comfort for metric student but necessity for a college student.

5. **Level of Income:** If the level of income of the consumer increases, he could bear the increasing prices also and so the demand for the goods will become less elastic for him but if the level of income falls, the demand for the same goods will now be more elastic.

6. **Raw Materials and Finished Goods:** The demand for the goods like raw materials depends on the demand for their finished goods. For example, the demand for cement, cement blocks, paints, wood etc. depends on the demand for houses. If the demand for residential buildings will increase, the demand for the raw materials will also increase and vice versa.

7. **Proportion to the Total Expenditure:** If a commodity is as such on which the dominant part of the total family income is consumed, its demand should be more elastic like milk, meat, ghee etc. On the contrary, if a negligible part of the income is consumed on an item, its demand should be less elastic or inelastic.

8. **Too Expensive/Cheap Goods:** If the price of particular commodity is too high or too low, its demand will be less elastic because expensive goods are not the problem for rich people and too cheap goods are not costly for the poor.

9. **Habits and Traditions:** If any thing becomes a matter of habits for the consumer, its demand must also be less elastic or inelastic like demand for cigarettes, wine, 'Paan' etc.

10. **Durability of Goods:** The goods that are more durable have more elastic demand because the people use them for a longer time, for instance, if the price of furniture and carpets increase, the pole will use the same furniture and carpets for a long time. The demand, on the contrary, of the perishable or less durable goods is inelastic or less elastic like glass wares because they are to be replaced rapidly.

Q. Give the mutual relationship between the practical life and the concept of elasticity of demand.

- **What is the significance of elasticity of demand in the practical life? Discuss**

Answer: The practical importance of the concept of elasticity of demand could be appreciated on the basis of following grounds:

1. **A Guide To Taxation:** Whenever the taxes are levied, the elasticity of demand of the goods is kept in view. If the taxes are levied on the goods demand which is elastic, the demand of such goods will be more elastic because the levitation of tax will increase their prices. As a result of this, this the government revenues will also fall. If the taxes are levied on the goods demand of which is less elastic, will guarantee the government revenues.

2. **Co-Products:** The elasticity of demand plays the crucial role in the determination of the price of goods which are co-products like cotton and cotton seeds. Among both the goods demand of which is highly elastic could be compensated by increase in the price of the goods the demand of which is less elastic.

in the market. Obviously, the prices will either increase from Rs.200 to Rs.300 or will decrease from Rs.400. Equilibrium between the demand and supply will be again.

CHAPTER # 4

CONUSMER'S THEORY OF DEMAND

Q. Explain the Law of Diminishing Marginal Utility.

- **What do you understand by 'Diminishing Marginal Utility'. Discuss.**

Answer: Law of Diminishing Marginal Utility is one of the most important and initial laws of consumption. It is our daily observation and experience that the every particular want is confined to certain limit. In other words, whenever the units of a particular commodity increase in our passion, its want diminishes. For instance, when a person sits on the dining table to satisfy his appetite and as he continues the act of eating, the will to eat in minimized gradually so much so he suspends the act of eating. In other words, he does not want to eat more. This is reality of our daily life called 'Law of Diminishing Marginal Utility.' The same thing could also be said that as the stock of any thing increases, its importance decreases. Prof. Marginal, giving the same phenomenon .a shape of law says,

> "If a thing is used constantly during a particular period of time, its marginal
>
> Utility decreases gradually and a point comes when the marginal utility
>
> Becomes zero."

In other words,

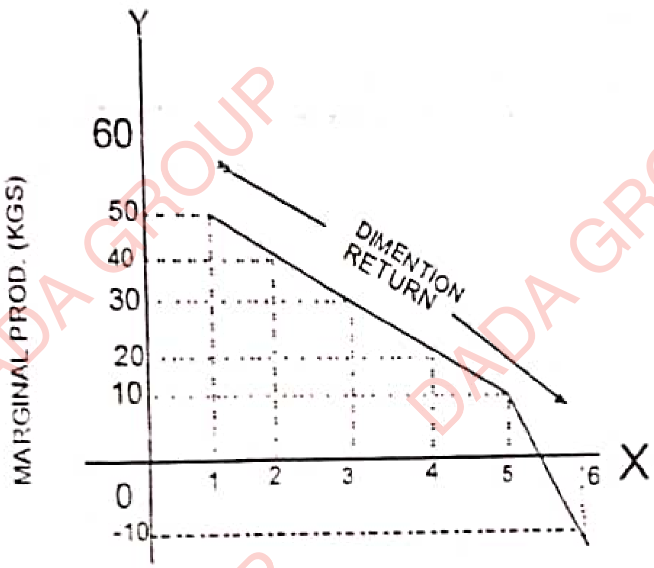
> "As the units are used, every successive unit gives the utility with the
>
> Diminishing rate provided other things remain unchanged."

This law can also be explained with the help if a schedule and the diagram. Suppose a person wants to purchase apples. He would be ready to scarifies his money according to the utility from the apple or he would be ready to consume his money on the apples in accordance with the willingness. Assume that he is ready to consume paisas 25 for the first apple (it should be noted here that the quantity of the utility can be expressed in terms of price of the commodity therefore, the utility of the first apple will be equal to paises 25).The utility from the second apple will be decreased therefore, he will not be ready to pay 25 for the second apple. Suppose he is ready to pay paisas 20 for the second apple. As the number of the units of apples to be purchased will be increasing, the utility of the apples will be gradually decreasing. In the light of this example, it could be concluded that as a person uses more units of a commodity, every successive unit gives him utility with the diminishing rate. This is the reason that he will be ready to pay less price for every next unit.

This law can be given in a schedule also.

According to this schedule, the area of land is shown fixed at 10 hectors in the second column. In the first column, the units of labour and capital are shown increasing. In the third column, the total production also increasing up to 5^{th} unit and in the last column, the marginal production (production of every individual dose) has been shown diminishing gradually. The marginal production by the 6^{th} dose is negative 10 kg. and this is the reason that the total production also starts to decline.

This table can also be converted into the diagram.



In which doses of labour and capital and the marginal production have been shown along with OX and OY respectively. The production of the first dose is 50 kg. and then there is decrease in marginal production constantly; 40,30,20 and 10 kg. respectively. When the 6^{th} dose is applied, its production is in 10 minus kg. Bold line DR is a constant falling curve which indicates the decrease tendency in the marginal production. After the point L, the production becomes negative due to which curve DR goes below OX showing minus tendency.

Q. Explain the Law of constant Marginal Returns.

- **Use the table and the diagram for the interpretation of the Law of Constant Marginal Returns.**

Answer: The Law of Constant Marginal Returns can also be explained with the help of a table and the diagram as under:

CONSTANT RETURNS SCHEDULE

Units of Labour and Capital	Total Production (Meters)	Marginal Production (Meter)
First	50	50
Second	100	50
Third	150	50
Fourth	200	50
Fifth	250	50

Q. Explain the income for computing the National Income.

- **How is the National Computed? Explain using Factor Costs Method.**
- **"National Income is the aggregate of incomes received by the individual during a particular year." Discuss.**

Answer: For computing the National income, income Method is used with the distribution of income point of view. According to this method, the National income is computed when it has been distribution in different forms amongst the people living in a country. National Income, therefore, is:

"The aggregate of the Incomes received by the people during a year."

The people receive their income through the provision of goods as well the services properties of them. For instance, the owner of the land receives rent, the owner of the labour wage, the owner of capital interest and the owner of the enterprise receives profits. The National Income, in this manner, is the aggregate of the following:

a. Rent of land,

b. Wages of labour,

c. Interests of capital; and

d. Profits of enterprise, including undistributed profits of the Joint Stock Companies

One of the main advantages of using this method for computing the National Income is that it could be evaluated that that is the pattern of income distribution of income in country? In other words, how is the income is distributed amongst land, lords, capitalists and labourers? Whether this distribution is equitable or inequitable?

Precaution: At the time of using this method one precaution should be taken into consideration that Unearned Income should not be included in the concept like charity, donations, pension, presents etc. because all these have already been included in one or in other income.

Q. Explain the Consumption Method for computing the National Income.

- **How is the National Income estimated on the basis of National Consumption? Discuss.**
- **"National Income is the aggregate annual consumption of a country." Comment.**

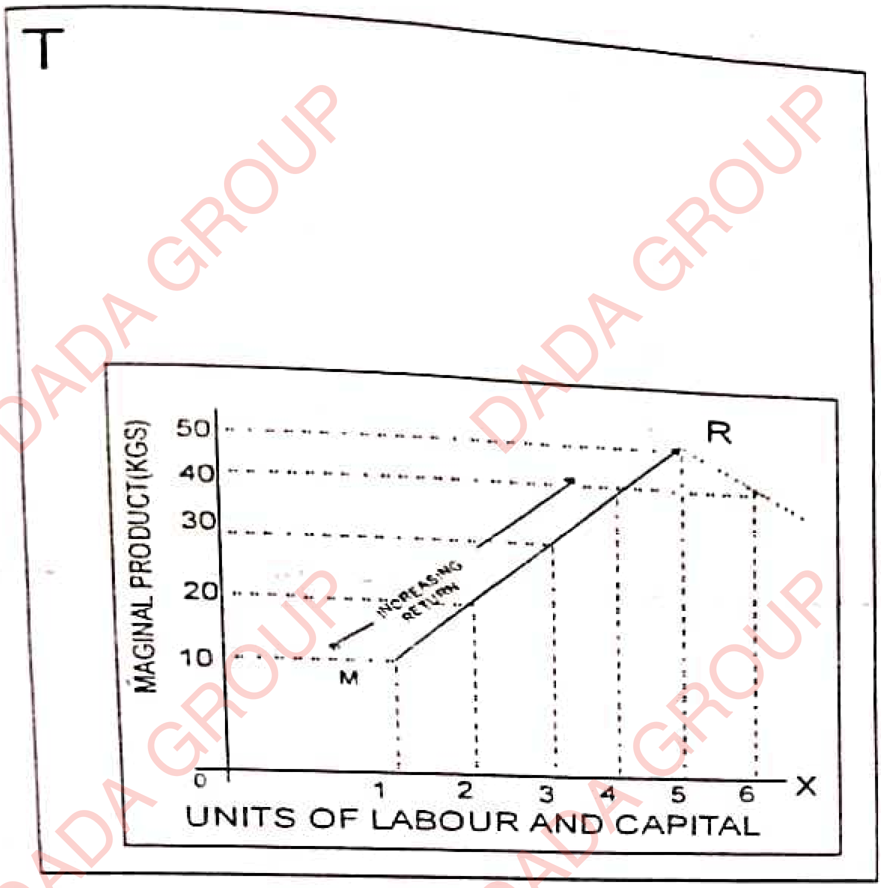
Answer: Consumption Method of Computation of National Income is based on the principle that as nobody can consume more than his income similarly, the consumption of a country should be also be equal to its income. In other words:

National Income = National Consumption

According to this method, for computing the National income the consumption of country during a particular year is known. Income consumed wither on consumers goods or on the capital or producer goods. National Income, therefore, could be estimated by aggregating the consumption expenditure and investment expenditure during a year. The Gross National Product, in this way, can be known by adding the following:

a. What has been consumed by the individual on the goods and services during a particular year. It is called personal consumption expenditure.

b. What has been consumed by the individuals on the new investments, repairing the machines and replacement of the machines and tools. It is called Gross National Individual Investment.



This table can also be converted into a diagram:

In which the marginal production and the doses of labour and capital have been shown along with OY and OX respectively. The points where broken lines drawn from OY and OX intersect, marginal productions are determined. This marginal production is 10, 20, 30, 40 and 50 kgs. When these points are joined, a bold line of marginal production is a continuous rising curve. In other words, from M to R the marginal production is increasing. After point R, the marginal product, curve starts to fall.This diagram that the cultivation should continue to add the doses of labour and capital up to 5th doing so is profitable for him.

Q. Explain the Law if Diminishing Marginal Returns.

- **Why are the Diminishing Returns operate in the process of production after a certain point? Discuss.**

Answer: If the units of variable factors (labour and capital) are applied on the fixed factor (land), the tendency of marginal production could be analyed. The land is taken as a fixed factor because if the land, after its full utilization, is to be increased in area it can't be. Before the application of diminishing returns, it is also assumed that no changes take place in the method and techniques of production.

In the initial stage of production, insufficient quantity of labour and capital is used so the production does not increase therefore, as the doses of labour and capital are added, every next dose gives the higher production than the previous. This increase in the production continues up to a certain limit. It happens so because the insufficient quantity of labour and capital is not capable to use the productivity of land in full. This is the reason that in the initial stage, every successive unit of labour and capital gives the production with the increasing rate.

Soon a point is reached when the applied number of doses of labour and capital give the maximum production called 'Optimum Point'. If after reaching this optimum point, more doses are applied then not only marginal but the total production will decrease rather to increase or the negative production will start. This is the point after which the process of diminishing returns starts.

Professor Alfred Marshall stated the Law of Diminishing Returns as follows:

> "When the variable factors (labour and Capital) are applied on a fixed factor (land), a point comes when the production of addition units start to decrease if the methods of production are not changed."

There are, in this way, two conditions of diminishing returns:

First: The area of land remains unchanged.

Second: No changes are incorporated in the art of cultivation.

It should be kept in view at this stage that although this law was developed by Marshall for Agricultural sector but is also applicable in industry, fishing, construction, mining and all the manufacturing sectors. Nevertheless, diminishing returns start in agriculture soon and late in the industry because agriculture depends on natural conditions which are beyond the human control while industrial conditions are in the human control to a greater extent.

Q. Explain the law of Diminishing Marginal Returns with the help of a schedule and the diagram.

- **For the numerical explanation of the Law of Diminishing Marginal Returns give a schedule and convert it into a diagram.**

Answer: The Law of Diminishing Marginal Returns, stated earlier, can also be explained through a schedule and the diagram as under

DIMINISHING RETURNS SCHEDULE

Units of Labour and Capital	Area of land (Hectors)	Total Production (kg.)	Marginal (kg.) Production
I	10	50	50
II	10	90	40
III	10	120	30
IV	10	140	20
V	10	150	10
VI	10	140	-10

"Rule of one price is the basic and necessary condition of a Perfect market."

Imperfect Market, as contrary to the Perfect Market, is the market where some of the buyers or the sellers are ignorant of the price of a commodity that is being paid and realized. Therefore:

"Different prices of a particular commodity prevail in an Imperfect Market."

Conditions of perfect Market

The following are the necessary and basic condition for a perfect Market:

1. Wide Area: A necessary condition for a Perfect Market is that its area must be wide enough. Sometimes, a wide market is called Perfect Market. We have referred that the factors which make the market wide. It is imperative for the Perfect Market that the commodity to be marketed should be durable transferable, cheap, grade able and could be samplified.

2. Cheap and Effective Transport and Communication: The distinctive property of a Perfect Market is the one price but if the information regarding to the price can't be communicated immediately and promptly one price can't prevails in such a market and so the market will also not be perfect. Similarly if the commodity is too heavy which can't be transferred easily, the market again will not be perfect. Cheap and effective transport and communication system, therefore, is a must for the market to be perfect.

3. Free and Perfect Competition: No restriction is imposed either on buyers or on sellers to enter or to exit from the Market. They are perfectly free to sell to or to purchase from any one. In other words, they do not have monopolistic touch.

We give some cases of the goods the markets to which will either be Perfect Imperfect.

1. **Consumer's Goods** are related to retailing therefore, their market is generally Imperfect because the retail prices of the goods vary from area to area.
2. **Share And the Stock's** Market is almost Perfect because the stock Exchanges are generally highly organized.
3. **Labour** market is generally Imperfect because the mobility of labour is very difficult. Moreover, the bargaining power if the labourers is weak and they are generally ignorant of the market conditions due to their illiteracy.
4. **The Market of Precious Metals,** Gems, First Class Bills and important raw Materials are also near to Perfect due to their organized market.
5. **Producers' Goods** are purchased in bulk at wholesales prices therefore, their market is also almost Perfect.
6. **Real Estate And Property** is near to Perfect because they involves huge amount for buying therefore, the purchasers are very sensitive about their price and take very reserved decision to buy.
7. **Money** market almost is Imperfect Market because in this market the price of money (rate of interest) vary from use to use, place to place and time to time

5. Construction Industry: Cement, iron, grabble, lime stone, trade and industrial buildings, all These things are nothing but the boon given by land to the man.

Q.3 What is meant by Division of labour? Give also its kinds.

- **Definition Division of Labour explain also its classification.**

Answer: The most prominent characteristics of the modern manufacturing and industrial world is the Division of labour. The living fact is that no worth mentioning factory or the manufacturing unit is there where the production is being carried against the principle of Division of labour because the large volume and better standard of production depends on the division of labour. Division of labour could be defined as;

Division a complete work into difference parts is called Division of Labour."

Classification: Division of labour could be divided could be divided into three; 'Simple Division of labour', 'Complex Division of labour' and 'Territorial Division of labour'.

(a) Simple Division of labour: Simple Division is also called 'Functional Division of labour' because the workers, under this system, are divided into main occupations like carpenter, blacksmith, weaves etc. Another meaning of simple division of labour is to divide a complete job into different incomplete parts or the processes. For instance, in a show factory, the job of shoe making could be divided into heel, upper, sole etc.

(b) Complex Division of labour: Under complex division of labour no worker, undertakes full job but every complete job is divided into incomplete parts or processes for instance, in a shoe making factory, making pencil marks on leather sheet, then to cut them and then to give factory, making of upper or sole or heel etc.

(c) Territorial Division of Labour: This division of labour is dome on the basis of area or territory or city where some hobs are specialized by the workers of that particular region.

Q.3 Explain the different kinds of capital.

- **In what different forms capital may be found? Discuss.**
- **In how many kinds capital may be classified? Explain.**

Answer: Capital assists the process of production in different forms therefore, it is classified into the same light. The kinds of capital may be as under:

1. **National Capital and Private Capital:** National or Public capital means the factors of production which are the collective property of a nation like railways, roads, post office,

Marginal Revenue Product is the addition in total income of the producer due to employing the marginal unit of any factor. If any factor is paid less than its marginal revenue product, he will not accept it and he can't be paid higher than this because it will be the situation of producer's loss. It is therefore, proved that the additional factor will be paid equal to its marginal revenue productivity or:

Reward of Marginal factor = Market value of marginal product

For instance, if the prevalent wage is lesser than the marginal product, more workers will be employed and the severe competition amongst the producers will increase the wages again to the level of marginal productivity. On the contrary, if the prevalent wage is higher than the marginal product, demand for labour will decrease and wages will again reduce to the level of marginal product. The wage therefore:

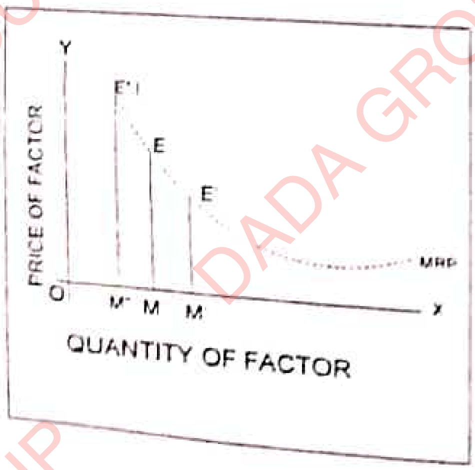
"Tend to be equal to the marginal product."

The same will happen with the rewards of other factors of production also, In other words, rent, interest and profits will also be paid according to the Theory of Marginal Productivity.

Theory of Marginal Productivity of income distribution can also be illustrate with the help of a diagram

In which price of the factor and the number of factor and the number of factors employed have been shown along with OX and OY respectively. Curve MRP represents the Marginal Revenue Productivity which represents also the demand for factor. OM quantity of factor is employed at price OP because at point E, marginal product EM is equal to price OP. If more number of factor (OM') is employed, its marginal product will reduce to 'EM' which is less than price (OP) paid. The producer, in this situation, will bear losses. If the number of factor employed less than OM (OM").Margianl product "EM" will be higher than price (OP) paid. This will profitable situation for the producer. Eventually , he will continue to increase the number of factor till its marginal productivity comes down equally to EM which will be equal to price (reward).

According to Theory of Marginal Productivity, in this manner, every factor is paid its reward (price) equal to its marginal productivity.



Q. Draw the supply curve on the basis of schedule.

- **Explain the supply curve and the schedule.**

Answer: Supply schedule could be defined as under:

> "The supply schedule is a table which expresses the different quantities of a commodity that are presented for sale in the market at different prices."

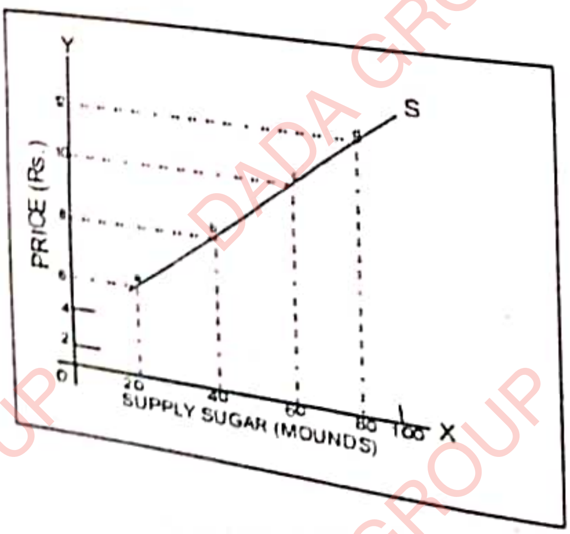
The supply schedule is comprised of two columns. In one column the different levels of prices are shown while in the second column the corresponding supplies are shown. A hypothetical supply schedule is given here:

SUPPLY SCHEDULE

Price Per Kg. (Rs.)	Supply (Mounds)
12	100
10	80
08	60
06	40

The price per kg. of sugar has been shown in the first column while the supply in the second column. At the price of Rs.12 per kg., 100 mounds of sugar is offered for sale but when the price falls to Rs.10, the supply also falls from 100 to 80 mounds. As the price is decreasing, the supply also decreases. If the same schedule is analyzed from below, every increase of price also increases the corresponding supply.

Supply Curve: This table can also be converted into the supply curve. In the diagram, price and supply have been shown along with OY and OX. When the price is highest (Rs.12 per kg.), the supply is also highest (100 mounds). The vertical and horizontal lines drawn from the points of 12 and 100 intersect at point D. When the price is reduced to R.10, supply also decreases to 80 mounds. The lines from the points of 10 and 80 intersects at point C. The other points, in this manner, are A and B. If points ABC and D are joined, we get a rising curve SS which is the supply curve which shows proportional relationship between price and supply.



Q. What do you understand by the Law of Supply? Explain.

- **Explain the law which expresses the relationship maintained between price and the supply.**

Answer: The Law of Supply is stated as under:

"When the price of any thing increases, its increasing quantity is brought to sale. On the contrary, when the price decreases, less amount is offered for sale provided other things are being equal."

Conditions of Law of Supply: The condition of "other things being equal" is attached to the law of supply. The most important condition is the cost of production. If the methods of production are changed in a manner that the additional production is carried out on the lower cost, the decrease in the price will also not decrease the supply. On the contrary, if the cost of production increases, even the higher price will not increase the supply. For instance, if the price increases and it is also expected that the price will further increase, the sellers will not show the supply till the circumstances are very clear because their 'reserved price' is high.

The Law of Supply can also be shown by a schedule and the curve:

SUPPLY SCHEDULE OF SUGAR

Price Per Kg.(Rs.)	Quantity of Supply Mounds
10	5000
09	4000
08	3000
07	2000
06	1000

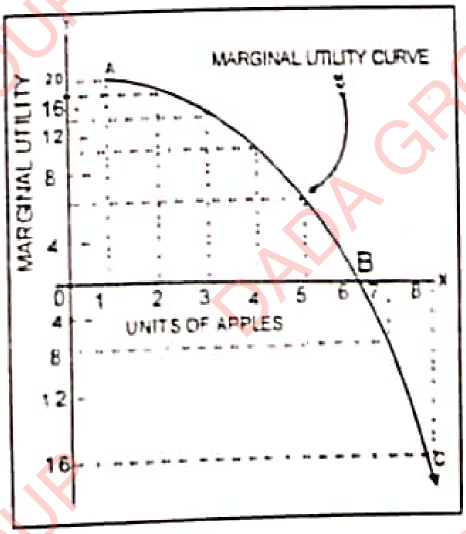
In the schedule when the price is highest, (Rs.10), supply is also highest (5000 kg.). When the price reduces to Rs.9, the supply also decreases to 4000. kg. When the price is minimum (Rs.6), supply is also minimum (1000 kg.). It is therefore concluded that the rise in price increases and fall of price decreases the supply. This schedule can also be illustrated by a diagram: Price and quantity of supply have been shown along with OY and OX respectively. Curve SS is the supply curve which expresses the functional relationship maintained between price and the supply. In other words, proportional relationship is maintained between price and the supply and this is the reason that the supply curve is a rising curve.

Units pf Apples	Utility (Total)	Utility (Marginal
1	20	20
2	38	18
3	43	15
4	54	11
5	60	06
6	60	00
7	52	-08
8	36	-16

This table reveals that the total is increasing up to 5th apple and the utility from the 6th apple is also equal to that from 5th unit. After this, the total utility decreases. But every additional apple is adding utility in the total utility with the diminishing rate so much so the marginal utility becomes zero. After this, the utility from the 7th apple is minus 8 and from the 8th apple the marginal utility is minus 16. Negative utility is achieved after the 6th apple. In other words, the total utility is also decrease.

If the same schedule is converted into the diagram, it will be as under:

Units of apple and the marginal utility have been shown along with OX and OY respectively. The utility up to 5th apple, no doubt, is decreasing but with positive trend. This is the reason the utility curve is falling from the A to B but falling with positive tendency. Since the utility from the 6th unit is negative and this is the reason that the point B is lying exactly on OX. The utility from 6th and 7th apple is negative and this is the reason that after point B, the utility curve is lying below OX nevertheless, the total utility curve from the beginning till end is a falling curve.



Professor Benham also stated this law more or less in the same words. Professor Boulding stated this law in more clear way as under:

> "When we increase the quantity of a factor keeping other factors constant,
>
> the 'eventual marginal productivity' of the added factor decreases after a point."

In all the above versions of the Law stated, one thing is common and that is this law states the proportionate change in the production with the changing factors if is applied with other constant factors. In other words, the increasing production of the increased factors eventually falls after a certain stage.

Q. Explain the Law of Increasing Marginal Returns.

- **Why does the Law of Increasing Marginal Returns operate? Discuss.**

Answer: The Law of Increasing Marginal Returns in fact is one of the stages of The Law of Variable Proportions. Prior to the stage of operation of The Law of Constant Marginal Returns, the Law of Increasing Marginal Returns continues. According to the process of production, when the doses (units) of labour and capital are added on the fixed factor (land):

> "The production by ever successive dose is achieved with the increasing rate as compared to the previous dose."

a. The process of production, from the beginning till the end, remains under the control of the same producer.

b. The factors of production are indivisible.

Since the land does not come in full utilization in the beginning, every addition of labour and capital increases the production as the land gradually comes into maximum utilization. In other words, the production of the variable factors (labour and capital) is achieved with the increasing rate. This tendency of marginal product is called 'increasing marginal returns'.

An Important Question: An important question arises at this stage that why does the increasing returns operate?

The answer to this question is that the factor of land is indivisible. In other words, if the sufficient required quantity of labour and capital is not applied, full benefits of land can't be acquired. For instance, if 2 plough and 10 labourers are required to utilize 2 hectors of land but only 5 labourers and one plough is applied. Since the half of the land is under cultivation, the production will remain low. If the number of labourers and plough are increased, the production will increase because now the unutilized land will also be utilized. This is the reason that when the doses of labour and capital are added on the fixed factor, the marginal production increases in the beginning. It should be kept in view at this stage that if the doses of labour and capital are added even after the full utilization of land, the marginal production will start to decrease rather to increase. In other words, the application of increasing marginal returns is suspended after a point called 'optimum point'.

Q. Explain and illustrate the law of Increasing Marginal Returns with the help of a schedule and the diagram.

- **Explain the increasing tendency of marginal production with the help of a schedule and the diagram.**

Answer: The Law of Increasing Marginal Returns, already explained in the foregoing pages, can also be difficult with the help of a schedule and the diagram as under where

We assume that the area land in fixed at 10 hectors:

The cultivator increases the doses of labour and capital on this fixed plot of land to increase the production. The trend of production, in the situation, will be according to the following schedule:

INCREASING MARGINAL RETURNDS SCHEDULE

Year of cultivation	Fixed Factor (land in hact.)	Labour and Capital (Doses)	Total Production (K.G.)	Marginal Product (K.G.)
1995	10	First dose	10	10-00 = 10
1996	10	Second dose	30	30 – 10 = 20
1997	10	Third dose	60	60 – 30 = 30
1998	10	Fourth dose	100	100 – 60 = 40
1999	10	Fifth dose	150	150 – 100 = 50
2000	10	Sixth dose	190	190 – 150 = 40

This table reveals that the area of land remains at every stage (year) of production remains fixed while the doses of labour and capital are added. First dose gives the production 19 kg. but the production increase to 30 kg. Next year. In other words, the second dose gives the production (30-10) kg. Similarly, third, fourth and fifth doses give Production 30,40 and 50 kg. respectively. But when the sixth dose is applied, the marginal production is reduced to (190-150) 40 kg. In other words, the rate of marginal production declines. According to this table, the marginal production increases up to 5^{th} dose.

CHAPTER 8

DETAILED ANSWER QUESTION

Q.1 what do you know about Factors of Production? Explain.

- **What is meant by Resources of Production? Give also their classification.**

Answer: Factors of production or Resources are the agents which are necessary for production a certain volume of a particular commodity. Apart from the materials, factors also include the services rendered by various people in different capacities like the owner of land who provides the productivity of land, labourer who provide services for converting raw materials into finished goods, the capitalist who provide money, the organizer who looks after the various stages of processes of production and finally the person who assembles all these people services and start the production. The combination of these factors, with reference to the production function, is called 'Input'.

L.M. Fraser, definition factors of production says:

"Factors of production is the name which is given to the original resources of Production."

A factor of production, in fact, is the group of element production and the single member of this group is termed as 'unit' of that particular resources. The word 'Factors' used to be applied to these elements of production by the classical economists but the modern expert of Economics call them 'Anonymous Productive Services'.

Classification of the Factors: Classical division of these factors of production is as under:

(a) Land (b) labour (c) Capital (d) Organization/Enterprise

All the factors of production, without any exception, are indispensable for the production because nothing can be produced without these factors. So much so, even any single factor is missing from the process of production, nothing could be produced.

One of the natures of the factors of production is that these factors are sometimes command substutable (one can be used in place of other other). For example, capital (machine) an be used in place of labour and so the labour can also replace the machine. Sometimes, some of the factors are specific for some particular purpose. In other words, they can't be used to any other purpose. For instance, the spare part of a particular machine can't be fit in other kind of machine. Some factors are used for various purpose at a time. For example, a common labourer

CHAPTER 9

DELAITED ANSWER QUESTIONS

Q. Defining National Income explain its concepts.

- **What is meant by National income? Explain in the light of its definition.**

Answer: NOTE: The center of our discussion in the previous chapter was principle of determination of the goods and services of the factors of production. In other words, these principles were concerned with the Theory of Value and Distribution. The prices, no doubt, are of paramount importance in an economy but more important aspects are the volume of Economic Activities and the Level of Employment. Now we shall discuss that what are the factors and their problem which determine the total output and the level of employment in a country. Moreover, what are the reasons due to which level of income and employment oscillate in a country. In other words, there are two aspects of Macro Economics:

a. What are the determined of total output and employment.

b. Why, according to the Business Cycles, ups and downs occur in the level of income and employment?

Concept of National Income: The aggregate of goods and services produced in a country during a particular year is called National Income like food grains, manufacturing goods, minerals etc. Not only the goods are produced in a country but different people render services in various positions like doctors, engineers, teachers, clerk etc. These services are also included in the concept of national income. The national income, in this way, it is total sum of goods and services which is produced in a country during a particular year. Professor Alfred Marshall defined National Income by saying:

> "National Income is the total sum of the goods and services produced in a country during a particular year with the help of capital and natural resources."

According to this definition. National income is the total sum of goods produced in a country during a particular year with the combination of land, labour, capital, organization and enterprise. Professor Richard Lipsy defined National income as under:

> "National Income of the goods and services produced in a country during a particular year."

Similarly, Gardner Ackley defines the National Income:

> "We, with reference to the definition of National Income, can say that it is the annual achievement of a country."

According to Ackley, there are two sources of National Income; Goods and services therefore, National Income can also be defined as:

> "the aggregate of incomes of the factors of production."

Income of the factors of production here means income received by labour and properties which received from the current production of goods and services. National Income cal also be understood through the Circular Flow of Income. Have a glance on the figure.

regarding National Income is not possible. If the basic data is not available, how could National income be computed correct?

4. Incomplete Specialization: The sector of specialization remains incomplete due to economic Backwardness. For instance, a portion of the total income received by a individual consists on the income from land in the form of rent but the other portion of earned as wage in the capacity of labourer. The important question is that his income should be included in which sector?

5. Lack of Statistical Data: The statistical information, on which the estimation of National income depends, are not available correct and complete. The statistical departments are not sufficient in number as they are required. Insufficient, hypothetical and wrong statistical figures provided wrong and misleading concept of National Income.

6. Shortage of Trained Staff: Services of untrained persons are hired in the departments collecting the statistical information due to which information provided by them are not reliable and the estimation of National Income goes wrong.

7. Non-Cooperation of the Masses: Civic sense is not aroused amongst the people due to lack of education. They do not take interest in the National matters. They do not cooperate with the staff appointed for collection the information regarding consumption production and the individual incomes. Either the people do not provide information or if so, they provide incomplete information deliberately.

CHAPTER 10

DETAILED ANSWER QUESTION

Q. what do you understand by money? Explain.

- **Give the meaning of money in the light of its definitions.**
- **Define the modern money.**
- **"Gold, silver, lead, brass, alloy and paper all are the different forms of money." Explain.**

Answer: Money is the means as well as the end of all the economic activities. No economic activity can be through about without the concept of money and no economic activity is possible without earning money. Money, in this way, is the central point of every economy around which the whole of the cluster of the economic activities revolve.

With this introduction of money, an immediate and ultimate question arises that what is money or what is that thing which should be called money. Various experts have defined money differently. As James Walker through that money is what money does. In accordance with this idea, money is not linked with a particular thing but anything which discharges the function of money should be called money. But in the wider sense all the mediums of exchange are known as money because the basic function of money is to serve as the medium of exchange or all the transactions should take place with the involvement of money. Moreover, the initial point of existence of modern money was nothing but to make exchange easy and possible.

These mediums of exchange may be in the form of gold, silver, lead, brass, copper, paper and business documents. This concept of money is too wide because they all are representative money. Money, in fact, is somewhat other things. On the contrary, some experts confined the concept of money to a commodity (specially gold) only. The Credit Money and Currency notes, in

Q. Explain the Smiths Ideal regarding the definition of Economics.

- **"Economics is the study of wealth". Explain the statement.**

Answer: Determination of the definition is a must understanding of every branch of knowledge but defining Economics continued to be a complex problem. Every economist has tried to define Economics in his own way. Consequently, the people started to say that "Economics is nothing but the subject of definitions because whatever is the number of economists, the same is the number of the definitions of Economics."

A time came when it was concluded that Economics was the subject having no definition therefore, it should be accepted therefore, it should be accepted without definition. It should also be kept in view that no common agreement on one definition is the prove of the greatness of Economics as a branch of knowledge as well as a living science. In other words, it is not the defect but the merit. Economics has been a challenge in all the times because economics problems have been emerging, are being emerged and will also be emerging in the future to come. Despite the fact that defining Economics is a difficult job, definition is a must. The definitions which have so far been evolved by the economists could be classified into Classical, Neo-classical and modern definitions.

Economics although as old as the man on this globe because man has always been confronted with the problem of food, shelter and clothe but the first definition of Economics was developed by a Scott economist Professor Adam Smith in 1776 in his well renowned work " An Enquiry Into The Cause And The Nature Of Wealth Of Nations." The definition was:

"Economics is the study of wealth".

Since Smith declared Economics as the study o wealth, he divided his book (article) into Consumption, Production, Exchange and Distribution. In other words, the human activities related to these sectors are called economic activities. Smith determined the principles according to which wealth (goods and services) are produced then they are transferred from one to other hand then the consumer consume them and lastly whatever is collected by the producers through the sale of the goods is distributed amongst them who participated in their production.

In support of his definition, Smith stressed so much on wealth that the philosophers of 18th century (Ruskin and Carlyle) declared Economics a dismal science (preacher and teacher of worshipping wealth). Being influenced by Smith's thinking, the followers of him also declared Economics a subject which studies matters pertaining to wealth.

These economists include J.S. Mill, Chapman, Walrus, Alley, James Walker and Senior.

In the light of the concrete arguments, Ruskin and Carlyle declared Smith's definition rubbish and misleading and rejected it and it continued to be recognized as the subject of wealth worshipping. Neither the significance of wealth can be denied because man can have the necessities of life with the help of wealth nor the importance and utility of consumption, production, exchange and distribution can be undermined.

subject which does not deal with the liking and disliking but the facts. Economics as a science should not explain only that how does a man satisfies his unlimited wants with the help of limited means.

d. Marshall's definition is not concerned with word 'material' only but with the term 'material welfare' which is an unmeasurable and psychological term.

Q. "Economics is the science with deals with the abundance of wants and scarcity of mean. "Explain.

- **Analyze the definition of Economics developed by Lionel Robins.**
- **"Economics deals with the problem of choice." Discuss the statement.**

Answer: One of the economics schools of thought is of the opinion that the abundance of wants and the scarcity of means is the subject matter of economic study and Lionel Robins is the man from the same school of thought. According to him:

"Economics is the study of human behaviour as a relationship between ends and scare means which have alternative uses."

In accordance with the Robin's definition of Economics, the human behaviour covers the following 4 aspects of human life:

1. **Wants Are Unlimited:** Man, from birth till death, continues to pass through the jungle of wants. As unending chain of wants keeps continue to expand every day. Man needs milk at his birth and coffin at the time of death and his entire life is consumed in making untiring efforts for satisfying the unlimited wants. So much so, when he gives his will on the death bed, he actually satisfies the wants which he could not during his life time.
2. **Wants Are Different In Intensity:** All the wants are not the same in their intensity but some are preferred over the other. This is the human nature that he satisfies the most urgent wants first and less urgent wants last. For instance, want for food is more urgent that the want for dress. Similarly, want for cricket bat is more urgent for the player as compared to the want of pen.
3. **Means Are Scarce:** Scarcity is a relative term. Means are not scarce in isolation but they are scarce in relation to their demand for the satisfaction of the wants. The problem of scarcity of wants is with every one irrespective of his poverty and wealth because the more is a person is rich the wider will the range of his wants. As no moment comes in the life is a person of a man when he is fully satisfied from all the sides, no moments comes when his means go ahead of his wants. The problem of scarcity of means, in fact, compels the man to adopt the economic bahaviour.
4. **Alternative Uses of Means:** One of the nature of scarce means (money or goods) is also that they are not fixed and reserved for the satisfaction of a particular want because they could be used alternatively for the satisfaction of various wants. For instance, money could purchase bread and also the dress and water can be used for drinking and also for cooking food. The alternative use of the goods enables a man to decide that for which purpose he could use the scarce means so that it could comparatively be more useful.

In the light of above characteristics and according to the definition given by Robbins it could be concluded that scarcity of means against the abundance of wants is

According to this method we start from some undeniable facts which are in accordance with the human nature and then the consequences are drawn from these facts. For instance, it is the belief of the experts that factor of selfishness guides the man in the life because every one selfish by nature. It was therefore, concluded that all the human activities, included economic activities, are guided by selfishness and it is correct. According to this method, individual is segregated from the group to analyze and then the result of this analysis are implemented on the collective issue of economic law.

Merits: Following are the advantages of using Deducting method:

1. Deductive method have complex causes and effects because according to this method the simple generalization can be applied can be applied to the complex situations and the results could be achieved easily.
2. The results of this methods are correct if the base of this method is correct. If we accept that man prefer higher profits on the lower profits, it would be correct to assume that the producer will work for maximum profits.
3. Collection of information on the large scale is not necessary for using the Deductive Method but it is simple in nature which could be implemented easily. According to this method, a law is formulated on the basis of some accepted facts.
4. In economic analysis where we are involved in the problems of human behaviour observation and experimentation can't be analyzed. The information regarding this problems are either not available or are insufficient, we can rely on the Deductive Method.

Demerits: Apart from its merits the following are the demerits of the Deductive Method:

1. Although this method is equipped with the simplicity, certain and effectiveness but these qualities are conditioned with the correct geralizations which is a very tight conditions. Generally the assumed generalizations are wrong and so this method starts to guide in the wrong directions.

2. Deductive Method; in fact, makes Economics a Domestic Science because it Refuse to accept that some generalization could also be refused by the society to accept.

3. Deductive method becomes dangerous when the global trends are to be proved on basis of limited generalizations.

(b) Inductive Method: The economists of Historical School of Thoughts severely criticized and rejected the Deductive method to formulate economic principles. Deductive Method was criticized very much in Germany. The opponents of the Deductive Method include Roucher, Hilderbrand and Fredrich. Cliff Tely, a British economist also opposed Deductive Method. Modern Economists replaced Deductive Method by another method called Realistic Method or Historical Method or Inductive Method. Inductive Method stressed that the facts should strictly be passed through the exhaustive tests, they should be tested in the real life and then on the basis of generalization the economic principles should be formulated. Through the Inductive method, 'general' conclusions are drawn on the basis of 'specific' results while in the Deductive Method the Specific Results are achieved from the 'general' results.

Merits: The advantages of Inductive Method can be mentioned as under:

Despite this, it should also be kept in mind that simply to have the money is not sufficient to convert desire into the demand. The prospective buyer of the car should be prepared to give up his purchasing power equivalent to the price of car. The desire to convert into the demand, therefore, should fulfill the following conditions:

a. having desire
b. having purchasing power (money)
c. willingness to consume money; and
d. willingness to pay the money as the price of desired goods.

The desire to purchase any thing depends on the demanded price of the commodity. The higher is the price, lower will be the demand. On the contrary, the lower is the price lesser will be the demand. In other words, the higher or lower demand of a commodity depends on the price. No one can decide about the quantity or amount of a commodity to purchase so long he does not know about the price of the same.

The price that buyer to pay for a certain quantity of a commodity is called

'Demand Price.' It is imperative here to distinguish between the terms 'Demand Price.' and the 'Market Price.' For instance, if the price of one piece of pen in the market is Rs.10 but the want of the buyer for the pen is so intense that he is prepared to pay even Rs.30. Here the Demanded Price is Rs.20 but the Market Price is Rs.10. will the Demanded Price be higher or lower, depends on the 'marginal utility' extracted from the commodity concerned. The term 'Demand,' in the light of this discussion, could be defined as under:

"The human desire for a commodity is called Demand which has support of

Purchasing power."

Q. Explain 'individual' and 'collective' demand with the help of a table and the Curve.

Explain the Demand Curve with the help of the demand schedule.

Differentiate between 'individual and 'collective' demand.

Answer: The demand schedule refers to the table showing the function relationship between the demand of a commodity and its price. The demand schedule is defined as:

"a table which shows the different quantities or the amount of a commodity at

Different prices."

The individual and collective demand schedules are given below:

Price Per kg. (Rs.)	Demanded Quantity (Units)
20	10
15	20
10	30
05	40

This table is the individual demand schedule which shows the quantities of a commodity which the buyer wants to purchase at different prices. As the price decrease, the demanded amount of the commodity is increasing or if the price increase, the demanded amount of the commodity is increasing or if the price increase the demand will decrease. According to this table the demand is highest (40 units) at the minimum price (Rs.5) while the demand is minimum (10 units) at maximum price Rs.20.

The table below, on the collective demand of the market in which it has been assumed that there are only 4 buyer in the market who want to buy the different amount of commodity at the different prices. Nevertheless, it should be noted that the buying trend of the consumers is also the same here; the relationship between the price and demand is opposite. The table, in this way, showing the total demand of the market is the 'collective demand schedule.'

Price Per kg. (Rs.)					
	Hamid	Riaz	Mehmood	Rashid	Total
20	3	4	5	6	18
18	4	5	6	7	22
16	5	6	7	8	26
14	6	7	8	9	30
12	7	8	9	10	34
10	6	7	10	11	38

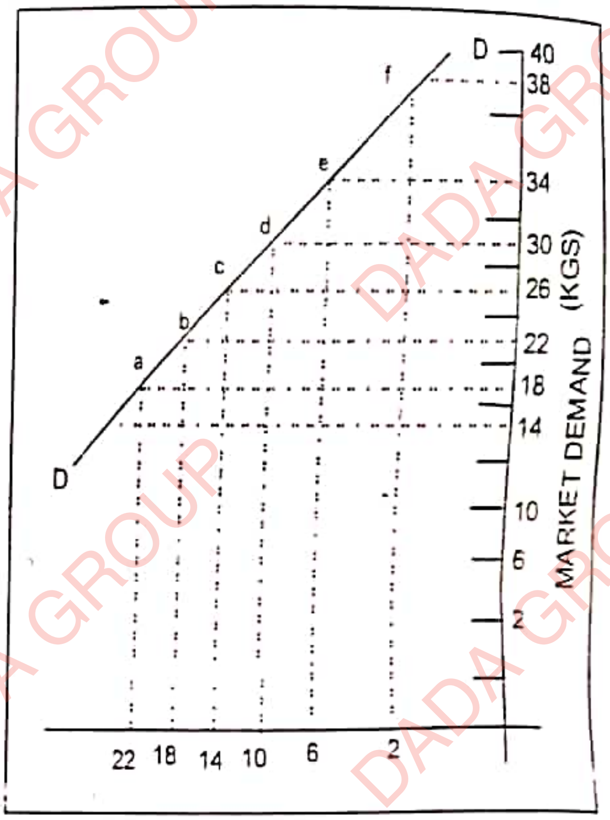
Demand Curve: The demand curve could be drawn on the basis of this table as under:

In this diagram, the price has shown along with OY while the quantity demanded along the OX. By joining the points showing the demand on different prices we get a curve DD which is the Demand Curve. This curve is a falling curve having a slope from left to right ward. This slope shows that as the price falls along with OY, the demand Increases along with OX. In this ways:

"The demand curve is such a falling curve which shows opposite relationship maintained between price and demand."

OR

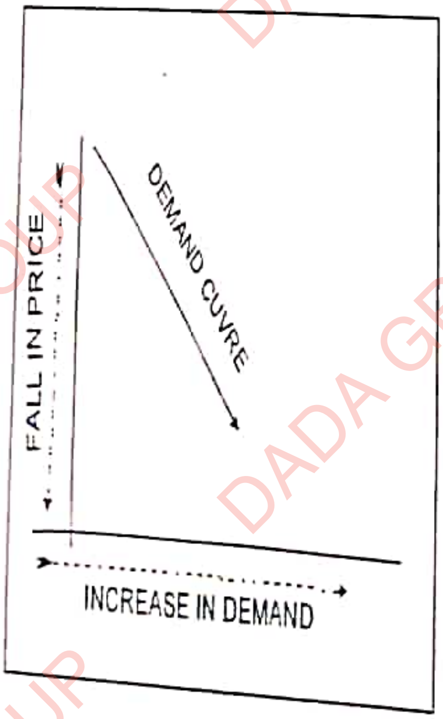
D = (f) P



Q. What a demand curve slopes from left to right? Give the reasons.

- **Why is a demand curve falling? Explain.**
- **"Demand curve is a falling curve". Why? Discuss the causes.**

Answer By analyzing the direction and shape it is known that the demand curve slopes from the left to right. In other words, as the price falls along.with OY, the demand increases along with OX as shown in this diagram.



1. **New Buyers:** when the price of a commodity falls, those people also become capable to purchase who were not previously. The demand increase due to entry of the new buyers in the market and so the demand curve from left to right.
2. **Increase In Real Income:** If the price of a commodity falls but no change takes place in the income of the buyers, his real income due to fall in the price. His purchasing power, in this situation, goes up. This is the reason that the demand curves slopes right ward because demand increases due to decrease in the price.
3. **Substitution Effect:** If there are two such goods on the scale of preference of the buyer which could be used as substitution if one anther like tea and coffee. If the price of one commodity, say coffee but no change takes place in the price of tea. He will take now the tea expensive and the coffee cheaper. Consequently, he will use more coffee and less tea because he will make coffee the substitute of tea. This also the reason of right ward slope of the demand curve.

Q. What do you understand by Law of Demand? Discuss.

- **"An opposite relationship is maintained between the price and demand". Explain the statement.**

Answer: The law of demand depends "basically on the law of Diminishing Marginal Utility. If it is seen into deep, it is revealed that both these law are the two different phases of the same coin.

a. The Law of Diminishing Marginal Utility expresses that as the units of a Particular commodity are used, every successive unit gives the utility with the Diminishing rate. This could be said in other way also that if the seller wants That the buyers (consumer) should purchase more goods, he should be ready to Accept diminishing prices. In other words, when the price decreases, the buyer Wants to purchase the more amount of the goods. On the contrary, when the Price increases, the consumer decreases additional purchasing. This process Shows the fact that the Law of Demand has been attached here with the behaviour of the individual consumer. The same idea can also be spread over the market situation where the buyers and sellers compete mutually.

b. Prof. Alfred Marshall states the Law of Demand as under:
"For the higher sale of the amount of a commodity, its price should fall or when the price falls, the quantity demanded increases and on the contrary, when the price rises, the demand falls provided other things remain the same."

Here 'Other things' means different factors like consumer's income, income of the society, taste of the consumer, traditions and customs, fashion, habits, prices of the substitute goods etc. If these factors will change, the Law of demand will fail to operate.

Since the quality of elasticity is embodied in the demand, the same quality

Responds the effect of change in price.furguson, defining elasticity of demand,says:

> "Elasticity of demand means percentage change in the demand for a commodity due to change in its price. The elasticity of demand should also be determine through the changes in price and changes in the amount of money consumed in the purchase of goods and services."

CTORS OF ELASTICITY

There are 3 possible causes for the changes in demand. First change in price, second change income and third change price of the substitution goods. This is the reasons that the kinds of elasticity of demand are also three as follows:

1. **Price Elasticity:** It means the change in demand due to change in the price of goods. If the increase of price decreases the demand or the demand increases due to decrease in price, it will be called Price Elasticity.

2. **Cross Elasticity:** Sometimes it also happens that the change in the price of a particular commodity changes the demand for its substitution which is called Cross Elasticity. for instance, if the price of tea falls, the demand of coffee will increase although no chanes in the price of coffee has taken place. It will happen due to the reasons that the people will make coffee the substitutes of the cheap tea.

3. **Income Elasticity:** The changes in the income, despite no change in the price, changes the demand for goods and services.For instance, of a person demands 10 units of X at price Rs.10 each unit when his income is Rs.5,000. If his income increasing to Rs.8,000. he will purchases more units of X at the same price. When the changes of income, in this way the demand, it is called Income Elasticity of Demand.

Q. Give the factors of higher and lower elasticity of demand.

- **On what factors elasticity of demand depends? Explain.**

Answer: If such under control of the consumer to leave or cortical the use of any thing, such commodity commands elastic demand but in otherwise case demand will be inelastic. If the demand in elastic, a minor increase in the price of such commodity will decrease in demand will be difficult even a minor rise in price takes place. It should be noted that the increase or decrease in demand does not take place due to change in price only but there are other factors also.

FACTORS OF ELASTICITY

Apart from the price, the elasticity of demand also depends on the following factors:

1. **Multipurpose Goods:** If a commodity can be used for various purposes, its demand will be elastic for some uses but for others it may be inelastic or less elastic like the domestic demand for sweet water is less elastic but is more elastic for irrigation.

3. **For a Monopolist:** The monopolist can determine any price of his product he likes because he does not have any rival. If the demand of the commodity concerned is elastic, he will curtail the sale by increasing the price. The monopolist, therefore, is bound to keep the elasticity of demand of his product at the time of determining the price.
4. **External Value of Money:** A country also keeps the elasticity of demand of its exports and imports in view at the time of declaring the external value of its currency.
5. **For Industrialist:** The concept of elasticity of demand is also important for an industrialist. For instance, if the elasticity of demand of his product is less than unit, it will receive lower total sale price therefore it will not produce additionally. On the contrary, if the elasticity of demand is more than unit, he can increase the demand sufficiently by lowering the price slightly.
6. **Economic Policies:** When we consider Economic Policies, they are referred to the policies regarding increase in production, end of depression, stability of price, increase in employment, control on inflation etc. which create economic stability in the country. At the time of formulating these policies, elasticity of demand of goods is kept in view.

CHAPTER # 3

SUPPLY ANALYSIS

Q. "Supply and stock are alternative terms." Is there any difference between the two? Explain.

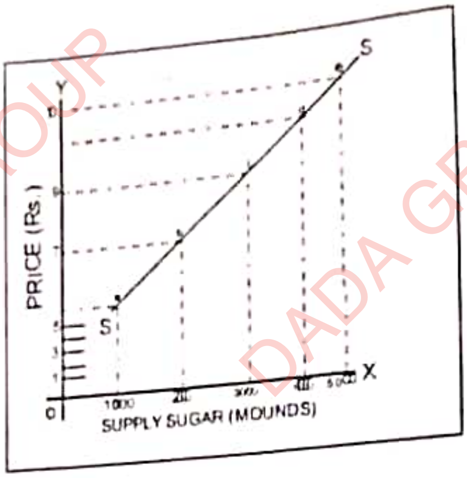
- **Differentiate between 'supply' and 'stock'.**

Answer: The word 'supply' and 'stock' are generally used as alternatives but both carry different meanings in economics. Stock is the quantity which is possessed by the suppliers during a certain period of time but the supply is the part of stock which is brought to the market for sale at a certain price. It should also be kept in view that the main objective of the producers and suppliers is nothing but to earn profits which depends on price. If the price falls, the rate of profits also decreases or losses start to incur.

Suppose all the suppliers in the market are in possession of 100 mounds of sugar which they want to sell. In this example, 100 mounds sugar is the stock. If the price of sugar in the market is Rs.10 per kg. at which the suppliers want to sell 60 mounds of sugar, the supply therefore is 60 mounds sugar. If the price of sugar increase to Rs.11 per kg., the profit of the suppliers will increase and they will be prepared to sell more sugar. Suppose they want to sell further 10 mounds of sugar, now the supply will be 70 mounds sugar. On the contrary, if the price of sugar falls from Rs.10 to Rs.9 per kg., the suppliers will decide not to sell a certain quantity of sugar from the existing suppy (70 mounds) due to loss. Suppose they withdraw 29 mounds sugar from the market, now the supply will reduce to 50 mounds of sugar. In other words:

a. When the price falls, supply decreases but the stock increases.
b. When the price increases, supply increases but the stock decreases.

It should be remembered at this stage that the different between the stock and supply of durable goods is always wide but narrow with reference to perishable goods.



Q. Explain the equilibrium between demand and supply.

- **"Equilibrium between the demand and supply determines the price of a commodity." Explain the statement.**
- **How is the equilibrium price determined? Discuss.**

Answer: The answer to the question that how is the price of a commodity or service in the market is determined the point where the demand for and the supply of it come into equilibrium. The buyers show their demand while the sellers show the stock with them to sell. Every buyer has a concept of maximum price of the commodity concerned to be paid and he can't pay more then that. Similarly, every seller has also the concept of minimum price of the same commodity below which he will never sell the commodity. The buyer calculates the maximum price in the light of the utility extracted by the use of the commodity while the seller estimates the minimum price in the light of the cost incurred on the production of the same. In other words, the price is determined between the minimum and maximum price.

Every buyer makes his utmost efforts to pay less than his maximum price while the seller wants to sell the same more than his minimum price. The determination of the price depends on the bargaining powers of buyer and the seller. If the bargaining power of the buyer is strong, the price will be in favour of the buyer otherwise in favour of the seller. We are in know of the fact that spply will be higher at the high price while the demand is highest at the lowest price. In the light of this analysis it could be concluded that the price should be determined at the point where the demand and supply becomes equal mutually and this is the reason that this price is called 'equilibrium price'.

This could also be explained with the help of a schedule and the diagram as under:

EQUILIBRIUM OF DEMAND AND SUPPLY

Demand (Mounds)	Price (Rs.)	Supply (Mounds)
500	100	100
400	200	200
300	300	300
200	400	400
100	500	500

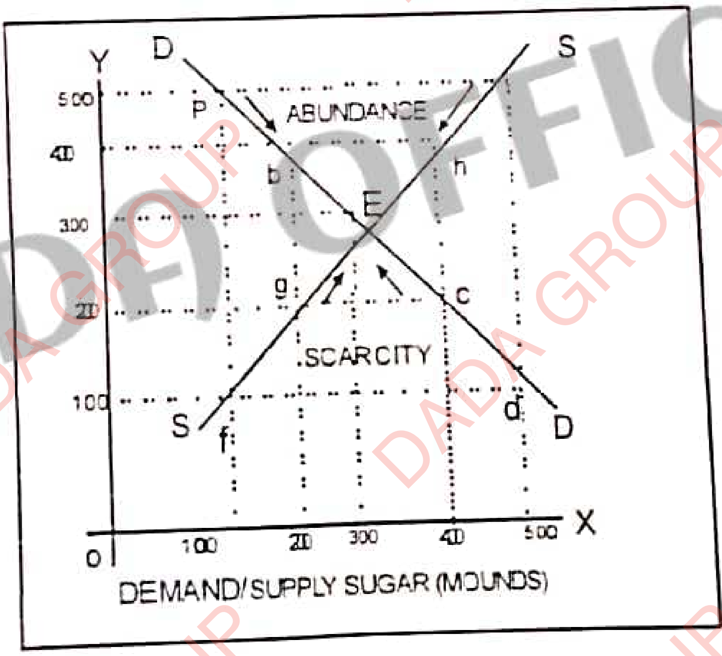
This table reveals that how is the price determined by the equilibrium between the demand and supply? Highest price is Rs.500 at which the demand is lowest (100).

According to the Law of Demand when the price falls, the demand increases but the supply also decreases. This is the reason that when the price is highest (Rs.500 per mound), the supply is also highest (500). Similarly, when the price is lowest (Rs.100), the supply is also lowest (100 mounds). With the change in price is Rs.300, the total supply 1300 mounds, is offered for sale and at the same price the market demand (300 mounds) is also satisfied. In other words, at Rs.300, demand is equal to supply.

If the price increases from Rs.300, a certain quantity of sugar will remain unsold due to fall in the price. Similarly, if the price falls from Rs.300, some of the buyer will be deprived of buying sugar due to fall in supply. As Hansen says:

> "The price of a commodity or service is determined through the action and reaction between its demand and supply in the market and a point of equilibrium is achieved." The equilibrium between the demand and supply and the equilibrium price can also be illustrated

by a diagram. The demand and supply of sugar and the price have been shown along with OX and OY respectively.



The Demand curve DD is a falling curve with shows an opposite relationship between price and demand. Supply Curve SS is rising curve showing proportional Relationship between price and supply.Rs.300 is the Price at which the demand for and supply of sugar is Mutually equal (300 mounds). This is the reason that The Demand Curve DD intersects supply curve SS at Point E. If the price increases to Rs.400, mounds. The demand decreases to 200 mounds while the supply will increases to Rs.400, the demand decreases to 200 mounds while the supply will increase to 400 mounds. In other words, sugar will be abundance in the market. On the contrary, if the price decreases from Rs.300 to Rs.200, the demand will increase to 400 mounds but the supply will decrease to 200 mounds. In other words, there will be the shortage for supply

CHAPTER # 6

LAWS OF RETURNS

Q. Explain The Law of Variable Proportions.

- With what difference The Law of Variable Proportions operates in agriculture and the industry? Explain.

Answer: We shall be studying the laws of increasing, constant and diminishing marginal returns in the next pages of this chapter but these are not the different laws but are the different stages of the one basic law and that is The Law of Proportationalty.

The law of Variable Proportion describes the effect of changing factors of production on the production. As the change in production is not in equal proportion of the change in the factors of production, it is also renowned by another name of The Law of Non-proportional Returns'.

When the manufacturer or the producer increases the quantity of the factors of production for the purpose of increase in production, the marginal production tends to decreases after a point. It does not take place that either the prices of the factors of production have increased or the price of the product has gone down. It happens due to the 'technical' reasons which are inherent in the process of production itself because every industry has its particular technical factors on which its product depends. For instance, properties of land in agriculture and the capital in industry play decisive role. Diminishing Returns start in the agriculture sooner while latter in the industry and if the produce is wise enough, he can avoid altogether the implementation of the diminishing returns. The marginal returns are kept constant in some of the industries. It is due to the different technical factors of each industry.

The marginal production increases in the beginning and decreases by the end in the agriculture but it continues to increase in the industry nevertheless, it will decrease in the industry also if it expands beyond the control. It is, therefore, wrong to conclude that one law applies in one industry and the other in other industry. The fact is that the same law applies in one industry and the other in other industry. The fact is that the same law is applied in the different stages in different industries and that it The Law of Variable Proportions.

Different Economists have described this law differently. Stigler says:

"If a factor is equally increased in quantity, the production of other factor becomes constant and the increased in production, after a point, converts into decrease or the marginal production begins to fall."

Professor Paul and Samuelson state this law as under:

"If the units of a particular factor are added with other fixed factors then the production, under special technological reasons, increases in the beginning but the additional production starts to decrease in production to the addition in the factor."

According to this table, when the first dose of labour and capital is applied, its own production is 50 meter of cloth. The production of the second dose (100-50) is also 50 and the marginal production (production of every next dose) remains the same 50 meter cloth.

In which the doses of labour and capital are shown along with OX while the marginal production along with OY. The marginal prouction curve CR runs parallel to OX from left to right indicating the constant production because the distance between CR and OX is maintained the same throughout CR.

Assumption of the Constant Returns

Following are the assumptions of the Constant Marginal Returns:

1. **Same Remunerations:** The first assumption is that when the size of the firm expands, the remunerations of the labour and capital (wages and interest) remain the same. If the remunerations are changed, the operation of constant returns will be suspended.
2. **Sufficient Supply of Raw Material:** The second condition is that the supply of raw materials remains available according to the requirements. When the demand for raw materials, due to expansion in the size of the firm, increases the price of the raw materials does not change otherwise returns will not be operated
3. **Non-Existence of Division of labour:** The last condition of this law is that when the firm expands, the division of labour does not come into being otherwise the cost production will change suspending the operation of Constant Returns.

CHAPTER 7

DELIALED ANSWER QUESTION

Q. What do you understand by the word 'market' and how many kinds of a market are possible? Discuss.

- **Defining market discuss that in how many kinds a market could be classified?**

Answer: According to Jevons, the market in the beginning used to be a public lace in the city where the goods were exposed for selling purpose but afterwards the word 'market'.

"Started to be used for the people who were busy and related through the Buying and selling of a particular commodity."

There may be market in a big city and may and may not be confined to a particular place. Territory or the place is not the necessary condition for the market to come into being. The business men (buyers and sellers) may be spread over the entire city, area or even the whole of the country. So much so the market will come into being if the buyers and sellers come into close interaction with one another through post office, fair, exhibitions, published price lists, newspaper and public meetings.

Definition of Market: Cournot, a French economists defined market as fellows:

"The Economist do not understand market place where goods are brought

And sold but they take the whole of the area as market where the buyers

And sellers come in such a close contact so that the price of a commodity

Is determined freely,quickly and equally."

In accordance with this definition, the following are the constituents of a market.

a. Commodity to be sold and purchased.

b. Existence of buyers and sellers of the commodity.

c. Place which may be a particular place or the entire area or it may be the world as a whole.

d. Establishment of the constant between the buyers and the sellers in such a manner that the price of commodity is determined at a time.

Classification of the Market: A market may be classified into many kinds on:

a. The basis of areas of like local market, internal market and the world market.

b. the basis of time period like very short period market, short period market, long period market and secular period market.

c. The basis of the nature of the competition like perfect market and imperfect market.

Q. What is meant by perfect Market and what conditions are necessary for such a market to come into being? Explain.

- **Explaining the concept of Perfect Market give its assumptions.**

Answer: For the clear comprehension of a Perfect Market, its distinction from the Imperfect Market is a must because the Market is Perfect which is not Imperfect.

Perfect Market: Such a market is termed as Perfect market all the buyers and sellers of which are fully aware of the price at which the buying and selling of a particular commodity is being done. Simultaneously, both the buyers and sellers should also know that what price of the commodity concerned are being offered and realized by other buyer and sellers of the market. Moreover, no buyer are reserved for some sellers and from any seller and any seller can sell to any buyer.

In the light of above mentioned conditions, one price prevails for a particular commodity at a certain time if the cost of transport and the import duty is allowed because the taxes and transport cost may create the difference of price of price due to difference of cost of production.

The Perfect Market, therefore, can be defined as:

"a market where one price of commodity during a certain period prevails in Whole of the market." In other words:

telegraph office etc. On the contrary, the Private Capital is occupied by the individual personally like the factory or his money deposited with the bank.

2. Material and Personal Capital: All the things which are materials called Material Capital if they are used as the factors or production like machines and tools. Personal Capital is attached with the person or an individual. For instance, personal abilities and capabilities are the personal capital like teaching capability of a teacher or the painting ability of an artist.

3. Remunerators Capital And Auxiliary Capital: Remunerators capital is paid as the Remunerators of the factors of production like wages of labour. Interest of capital salary of an organizer, rent of land etc. But the capital which assists the process of production is called Auxiliary Capital like tools, machines, implements etc.

4. Fixed Capital and Circulation Capital: Fixed capital refers to the capital which is durable and is used again and again while the Circulating Capital is used once. Experts of Economics have extended the example of needle and thread. Needle is fixed used once for all the times. The factory building is the fixed capital and the raw materials are circulation in nature.

5. Production Capital And Consumption Capital: The capital which is uses directly for the production of goods is called Production Capital like tools, machines, raw materials, factory building etc. The goods which are used for carrying process of production indirectly are known as Consumption Capital like Food, Clothes and shelter used by the labour of any kind.

Q.4 Highlight the significant of organizer for the business.

- **Explain the role of organization in the modern production system.**
- **Why is organization necessary? Give the reasons.**

Answer: Wants of the primitive man were very simple and limited therefore, he was leading a self sufficient life. In other words, he was satisfying his needs for foods, shelter and clothes by employing his labour on the land gifted by nature with the help of capital (tools).

The area of wants of the modern man has not only been expended enormously but the invention and use of the machines have made the process of production very vast and complex in nature which depends on the specialization. Today, a large number of the workers are employed to produce on the large scale because it is not now possible for a man or the group of the people to cope with the needs of a particular commodity concerning the society as a whole. For the purchase and installation of the huge machines and plans and the raw materials for them is not possible through the personal capital but the capital is acquired in the bilk from the financial institutions.Since the production in done on the basis of specialization, the smallest portion is also divided into groups of people undertake a complex job in parts. Every department and stage of to look after the performance.

A question of paramount importance for a producer is that should be organize only or he should also be the entrepreneur to assume the risks of the business? The organization has become very importance in both these two situations. The basic responsibility and the job is to combine land, labour and capital in such a way that the maximum production might be possible within minimum cost because the profits of eh materials, he watches the performance of the workers and prepares the strategy of sales after completion of the process of production. In other words, the organizers rightly said that if the factors of production are the army then the organizer is their commander.

Every bug business is expands from the local territory to the foreign frontiers. No modern country can be escaped from being influenced by the other countries because the world has now been shrnked to the minimum. Long distances have been shortening. It is very difficult to run a business successfully protecting it from the cut throat competitive environment. The significance of the organizer in the modern business lies perfoming this duty only.

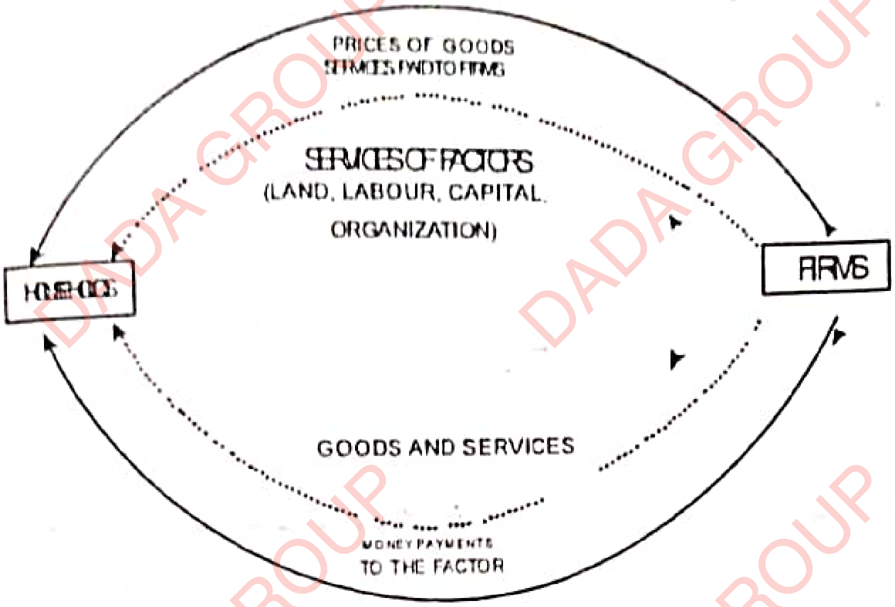
Q. Explain and illustrate the Theory of Marginal productivity as the theory of income Distribution.

- **How are the rewards of the factors of production determined? Discuss with reference to the theory of Marginal Productivity?**
- **Explain the role of Theory of Marginal Productivity in determined the rewards of factors of production.**

Answer: How are the rewards of factors of production are paid has been the question of importance right from the **1826** for Von Thunen till **1890** for Walres and all have contributed, advocated and development one famous idea known as Theory of Marginal Productivity in Economic Theory. An entrepreneur or the firm employs the factors of production for keeping the process of production in motion and since he wants to earn profits therefore, he will not pay to any of the factors which is not profitable for him. Obviously, he will pay to every factor employed whatever that factors contribute to the total lot of production. The same is termed as Marginal productivity.

On the contrary, there is open competition in the market therefore, no factor will accept less than his marginal productivity. It could, therefore, be concluded that the marginal productivity plays the decisive role in determining the reward (price) of a factor of production. The net additional the total production by employing an additional unit of a particular factor is called his Marginal Revenue Productivity. In other words:

Marginal Revenue Productivity = Marginal Product X Market Price



It has been assumed in this diagram that there are two sectors only in an economy; firms nd households. The firms produce goods and for the production of them they hire the services f the factors of production. These factors get their income through production. The sale value f net product is equal to the total of rewards (incomes) paid to the different factors of roduction in the form of rent, wages, interest and profits. These incomes to the owners of the actors of production are the source of expenditure. Income, in this way, is received by the ouseholds from the firms because they provide productive services to the firms and the 'firms arn income from the households because they consume their earned income on the purchase of goods produced by the factors. The national Income, in this way, are three dimentsions of the ame things:

a. Total flow of income.

b. Total net production; and

c. Net expenditure.

Q. Highlight the different concept of National Income.

- **Explain the ingredients of national income.**
- **"National Income is the aggregate of different kinds of income." Explain the statement.**

Answer: National Income is the aggregate of different kinds of income or the National income can be glanced at different angles. The details of these different incomes are given below.

1. Gross National Product (GNP): Gross National Product is the aggregate of goods and services produced in a country during a particular year. It could be defined as under:

> "Gross National Product is the aggregate of market value of the total goods and services produced in a country during particular year."

Gross National Product is the measure of the current economic activities in a country. there are two main things which are to be kept in view with reference to Gross National Product:

a. It is the market value of the annual production of a country. In other words, GNP is the monetary measure of gross product because there is no other device with which the annual production of a country could be evaluated.

DPI = Personal Income – Personal Taxes

It should be noted here that Disposable Personal Income either is consumed or saved therefore:

DPI = consumption + saving

5. **Gross Domestic Product (GDP):** A part out of the total goods and services produced in a country during a year is produced within the country and a part out of the country. For instance, Similarly many people render their services in the different capcities outside the country. Income is also earned through the experts of both the goods as well as services. The market value of the goods produced within the country is included in the Gross Domestic Product and income received from other countries is not included. On the contrary, in the gross national product the net income received from other countries is also included. Thus:

GDP = GNP – Net income received from other countries.

Q. Explain the Product Method for computing the National Income.

- **How is the National Income estimated through the Market price Method? Explain.**
- **"national Income is the aggregate of market prices of goods and services." Explain the statement.**

Answer: As production is made for computing the National income, it is called 'Product Method'. this method is also known as 'Market price Method' because the market prices of goods and services are made the vase for computing the national income.

According to this method, the economy is classifies into different productivity sectors like agriculture, mining, manufacturing, petty Business, commerce, business, transport communication and other series. At the second stage, the market value of the goods and services produced in each sector is aggregated and the Gross National Product is achieved.

For knowing net value of the product of particular unit of the industry, the value of the goods purchased by the producer for the production is deducted from the value of gross product. If the value of all the producing units product is added together and the net income received from other countries is also added then Gross National Product.

If the total depreciation costs are deducted from the Gross Nation Product, we could get net National product or National income.

It should be kept in view at this stage that this method can be used for knowing the National Income successfully correctly in the countries where the products are properly recorded annually. The countries where some main products are recorded and other products are ignored, other methods should be used with this method so that using this method is that is could be known that which sector of the economy is important to contribute more towards the national income.

Precaution: At the time of using Market price Method for computing the National Income it is suspected that one product may be included in computation twice or double counting may take place, For instance, if the market value of cotton, yarn and clothes is computed separately and then it is aggregated then figures of National Income will be double counting, therefore, must be avoided. The experts have suggested that the product be taken into counting at its final stage or the value of finished goods should be included.

c. What has been consumed by the foreign countires on the purchase of local goods and services and how far this expenditure is higher than the expenditure made by the country on the purchase of foreign goods and services? In other words:

Exports – Imports

It is called Net Foreign Investments.

d. What has been consumed by the government on the purchase of goods and services. It is called Government Purchasing or Expenditure.

NOTE: We have discussed so far three methods for computing the National Income of a country:

a. Market Price Method or Product Method.

b. Factors Cost Method or Income Method

c. Consumption Method

All these three Methods are not separate methods but they are alternatives because the result of computing of all the three methods should be the same therefore, for correct computation all the three methods must be used so that one method could remove the defects of the other.

Q. Highlight the Significant of the concept of National Income.

- **Why is the study of National Income important? Discuss.**
- **Discuss the advantageous aspects of study of National Income.**

Answer: When the National Income is computed, not only the figures pertaining to it are achieved but the fact figures regarding other sectors come into the light which determine the importance of a particular society for the economy as a whole.

Significant of National Income: The importance of the study of National Income is obviously by the following:

1. Estimating of Performance of the Economy: Computation of National Income reveals the output of different sectors of the economy, Per capita income (Which is known by dividing the National Income over the existing population), reveals about the average living standard of the people, Economic welfare depends to a greater extent on the living standard and the level of National Income of a country.

2. Estimation of pace of Economic Growth: Whether the pace of economic growth or progress is fast or slow or even negative can be known by comparing the National Income of current year with the previous year. National Income of the current year is higher than the last year, it means the rate of economic development and growth is fast. if the National Income of current year is more or less the same as it was previous, it means the economy has becomes of the past year, it indicates the negative growth of the economy.

3. Estimation of Distribution of income: Computation of National income tells that how has the National Income been distributed amongst the difference classes of the economy in the form rent, wage, interest and profits? Whether the pattern of income distribution has created equitable or inequitable distribution of wealth.The distribution of National Income in wages on the one hand and in rent, interest and profits on the other is of paramount social and economic importance.

4. Significance of the Sector: The estimation of National Income reveals that what is the importance of a particular sector for the economy? If the agriculture sector, contribute more towards the National Income, the economy will be termed as 'agriculture' and if it is contributed dominantly by the manufacturing, the economy will be called 'industrial'.

5. Comparison with other Countries: Estimation of National income provides opportunity to a country to compare it with the living standard of other countries. If the living standard of a country is low due to low per capital income, the economy will be termed as 'agriculture' and if it is contributed as 'undeveloped' otherwise 'developed'

6. Estimation of Consumption Saving and Investments: The national consumption, saving and investments are also be evaluated through the computation of National Income. The estimation of computation, savings and investments is of basic importance for the economic developments determine the rate of economic growth of a country.

7. Guide to Economic Policies: National Income accounting provide guidance for the formulation of economic policies because the modern government's part from intervening the economic activities, from also the economic policies for the government. In other words, the study of National Income tells that what is the role of the government in the economic development of a country? No economic planning is possible without the computation of National Income.

In the words of Samuelson:

> "We can assess the direction of economic journey from economic Backwardness to economic progress with the help of concept of National Income. Moreover, the persistent growth of the economy could also be sketched and above all, we can ascertain our position by comparing our National Income with the rest of the countries of the world.

Q. Discuss the problems of computation of National Income.

- **What common and specific difficulties are faced on the time of estimation of National Income? Explain.**
- **Highlight the problems of computing the National Income in the developed and the developing countries.**

Answer: When we compute the income of a country, commonly the following problems are confronted with:

1. Non-Monetized Transactions: Non-monetized transaction refers to the buying and selling without the use of money. For instance, women render their services for their family members and they also work in agriculture fields. The farmer keeps a portion of his product for the domestic use out of the total production. The people exchange goods with goods. All these cases are those where production is being done but can't be included in the national income specially when the National Income is computed using 'Market Price Method'.

2. Income of Foreigners: One problem arises when it is to be decided whether the income of the foreign firms working in the local economy should be included in the income of the country where they are working or in the income of their native country? Some are of the opinion that the production of the foreign firms should be included in the income of the country where they are production but their profits should go to the National Income of their native country.

There are special problems faced in the less developed countries at the time of computing the National Income of given as under:

3. Illiteracy of the Masses: The people in the developing countries at the time of illiteracy do not kept proper record of their income and expenditure due to which collection of facts and figures this manner, are excluded from this definition of money while this credit instrument can't be separated from the concept of money because no transactions are possible without these instruments.

Robertson, defining money, says;

"Everything is money which is acceptable as the price of goods and services and for satisfying all money obligations."

According to this definition of Robertson, only currency notes and coins will be regarded as money and credit instruments like promissory notes, bills or exchange cheques etc. will be excluded from the concept of money because they do not possess quality of general acceptance nor anyone can legally be compelled to accept these credit instruments although no legal composition is needed for accepting money as money. But some experts emphasis this aspect of money, for instance, Jeffrey Growther in his 'Outline of Money says:

"Anything which passes freely from hand to hand as a common medium of exchange in the final discharge of debts is known as money."

G.D. Kool defines money a under:

"Money is the power which purchases goods."Similarly. Alfred Marshall defines money:

"All the things are money which are accepted against purchasing goods and the deferred payments without any doubt." Lord John Maynard Keynes says"

"Money is the thing the payments of which eliminates the price and debts Obligation and which secures general purchasing power."

James Walker defined money by saying:

"Money is what money does."

G.N. Naim, In his 'Monetary theory'. Writes about the definition of money"

One thing is common in all the above definitions of money and that is property of 'general acceptability'. Nothing could be called money so long it possess this quality of general acceptance .So many things are there which have general acceptability but they can't be used as medium of payment. According to this concept metallic coins, currency notes and the cheques issued on the basis of bank deposits will be termed as money because they are commanding general acceptability in the business world.

This is the property of modern money that there is no link between its face (printed) value and the actual value but it is provided legal backing and guarantee due to which it commands general acceptability and this is the reason that they are called money.

Q. Describe the characteristics of Good money.

- **Explain the detail the characteristics of money.**

Answer: The experts of monetary economics have pointed out the following characteristics that should embodies by a standard money:

1. Cognizibility: The money should easily be recognized. Its form, colour, design, weight and appearance should be as such that if could easily be recognized. It would be possible only when the different units of different denominations are different. In case of missing this property, confusion is bound to be created, the coin of Rs.5/= in Pakistan lacks this property. Some coins are bigger and resemble with coins of Rs.1/= while some are very small.

2. Utility: They commodity which is to be used as money, should be capable to be accepted nd paid in transactions. The acceptability can't be created without value. If the money is made of gold or silver, if value will be intrinsic due to metals but it the money is of paper, the value could be created by the government through its seal or promise.

3. Portability: Many of the commodities were abandoned as money because they were commanding higher weight and lesser value or the property of portability was missing in them. The money must be as such it could easily and conveniently be portable from one place to another. This quality is found to the greater extent in goods and silver.

4. Divisibility: The problem of Barter System was that goods were required to be divided to which their value was lost. Money solved this problem. Now goods are comprehensive. For instance, the coin of paisa's 25 in Pakistan.Is not divided in equal two parts because there is no coin of 12.05 paisas. Money should be as such that due to Division, there should be no reduction in its value.

5.Indestructability: Every tangible good is subject to destruction because of one of the two causes; Water and fire. For instance, paper money could be burnt as well as destroyed be water. The gold money embodies this property that it is melted by fire but indestructible.

6. Stability in Value: Value of money refers to its purchasing power or the units of commodity that could be purchased be one unit of money. If this purchasing power is not stable of the value of money increases or decreases rapidly, the economic activities, will becomes the victim of uncertainly and economic chaos is created.

7.Homoheneneity: It should also be money should also be the property of standard money that all the units of a certain value should be the same. For example, different weight, design, etc. will make them doubtful and unacceptable.

8.Malleability: The metal of money should be easily malleable like gold and silver. A world could be coined depicting the qualities of good money by its every letter. This world may be as under:

(a) **Positive Science:** Positive Science expresses the nature of relationship maintained between cause and effect. For instance, if the agriculture sector of Pakistan is backward then Positive Science will find out the causes of this situation. The question that what should be done for the betterment of agriculture has nothing to do with Positive Science. Prof. Robbins stressed that the function of Positive Science is to unveil the facts.

In other words, it studies that how the people satisfy their unlimited wants with the help of limited means. Economics has no concern with the question that what should be done to satisfy the unlimited wants with the limited means because Economics is a neutral science.

(b) **Normative Science:** The question that what should be done in a particular situation is concerned with the Normative Science. For example, in connection with above instance, Normative Science will tell that what should be done for development of backward agricultural sector of Pakistan?

If Economics is accepted as Positive Science, it will not guide like other social sciences and will emerge as an useless bundle of information. An Economist should also lead to the path of Economic Welfare as Prof. Thomson says:

> "It is not sufficient just to study the relationship between cause and effect but it is also the duty of an economist to reject or to recommend to accept in the light of positive or negative opinion."

ART Art is the human effort which is undertaken for the material welfare of man. Science tells what are the causes of a particular effect are but one Art recommends the positive effects and reject the negatives. Art, with the rejection, also recommends the remedial measure to eliminate the negative effects. In doing so, science becomes an art. If Economics recommends to use testified seeds, better fertilizers, timely irrigation and use of machines for developing the backward agriculture, it is acting as an art.

When at the time of formulation any development plan, the conditions are analyzed we are concerned with the art. It is proved in the light of this analysis that Economics is not a Positive Science (science) but also a Normative Science (art) because when Economics formulates laws and regulations, it is a science and when it suggests to work on them acts an art therefore, according to its nature:

"Economics is a science as well as an art."

Q. Highlight the scope of Economics.

- **Give the subject matter of Economics.**
- **What matters are included and what are excluded from the study of Economics? Discuss.**
- **With what aspects of human life Economics deals? Explain.**

Answer: The following two methods, for analyzing economic problems, could be adopted:

(a) **Deductive Method:** Classical economists, for formulating economic principles, depended on simple generalizations. This method is called analytical or 'deductive method'. These economists included Senior, Carson and over all David Ricardo.

1: Inductive Method could be used for testing the results achieved through the use of Deductive Method. In other words, Inductive Method could be the alternative of Deductive of Deductive Method.

2: According the claim of the advocates of Deductive Method "Economic issues are very complicated. Obviously, complex problems can't be solved by the simple method. In other words, the followers of Deductive Method automatically Method is more helpful in adopting the economic policies in specific countries because every country has different nature of economic problems therefore, specific method could be more suitable than the general method and Inductive Method is the specific method. On the basis of this fact it could be said that 'free trade' may be advantageous for the developed country but it could be injurious for the developing countries.

Proper Methodology: The modern economist do not reject a method just for accepting the other method because it is widely accepted that the theories without facts are nothing but the mental gymnastic and similarly the facts without theory do not Carrey any meaning. The modern economists, therefore, use both the methods.

According to their opinion:

> "As the two legs are indispensable for walking, both Inductive and Deductive Methods are necessary for the scientific analysis of economic issues."

As expert of economics, depending on Deductive reasoning starts its analysis on the basis of some generalization and then he testifies these generalizations on the criteria of facts and so a generalization is culminated into a theory. Prior to the circumstances. This method, according to Eric Roll, is termed as 'Inductive-Deductive Method'. Both these methods are not opposite of one another but they are complementary as Regner says:

> "Real solution of an economic problems does not lie in rejecting one and accepting the other method but in accepting both.

Q. What does the term 'Demand' refer to in Economics? Explain.

- **Define Demand.**
- **Differentiate between the term Demand and Desire.**

Answer: The word 'demand' is used as a term in Economics. Common meaning of word 'demand' is 'desire' or 'longing' but there is a difference in 'desire' and 'demand' as a term in Economics. If any thing is desired only, it will not be called demand in a term in Economics. If any thing is desired only, it will not be called demand in Economics. For instance a clerk may desire for a motor car but if he does not have monetary resources (money) to have a car, his desire despite the earnest longing will remain only the desire not the demand. In other words, the sellers of the motor cars will not include him in the list of the buyers of the cars. The desire, to become a demand, should have the backing of purchasing power or money.

can be used for digging earth but he can also used for spinning the wheel of a non-powered machine.

Nevertheless, it should be kept in view, at this stage that no factor could exclusively be specific or versatile. In other words, one factor can be used for a few purposes at a time but it can't be used for all the purposes. If any factor, in this manner, can be used for limited purposes, it should be called specific factor but if a factor could be used comparatively for more purposes, it should be called versatile factor. The specific uses of a factor, in fact, differentiate it from other factors of production.

Q.2 Highlight the importance of land.

- **What significant role is played by the land with reference to the production function? Discuss.**

Answer: Land is a natural and original production. As it has already been said earlier that nothing can be produced without the help and combination of land. Capital, organization and enterprise also depend on land for their positive results in production.

Significant of land

Economic importance of land can be given as under:

1. Provider of Food: Land provides livelihood to the man. Man grows food grains ploughing land, raises the orchards on land, catches fish from rivers and ocean and gets food by hunting in the jungles.

2. Provision of Raw materials: Industry or manufacturing and the raw materials are complementary. All the industries depend for their production on the raw materials. For instance, minerals are mined from the depth of land like sulphur, lead, gypsum, etc. In other words, industrial promotion and backwardnesss depends on the availability and scarcity of minerals (land):

3. Means of Transport: Minerals are also required for the development of means of transport and communications like rails, motors, airplanes, ships, telephone, computers and etc. require iron, steel, copper, brass, rubber, plastic etc. and all these are achieved from the land.

4. War Weapons: Every country today is threatened by its neighboring countries and so it requires weapons for protecting in political integrity and defence. The weapons and made for minerals like iron, copper etc. and they are achieved from the land.

Q Highlight the defects of Marginal Productivity Theory of Distribution.

- **"Theory of Marginal Productivity is not a correct idea". Give the arguments in favor of this statement.**

Answer: Theory of Marginal Productivity (already discussed), depends on some assumption which are non-realistic and are not confirmed in our practical life. This the reason that they make the theory invalid and non-applicable in the real life. This theory does not explain that how the rewards of factors of production are factually determined on the following grounds:

1. **Factors Are Not Closed Substitute:** It is assumed theoretically that all the factor are closed substitute of one another. In other words, labour can be used is place of capital and capital can replace labour. The factors of production are not closed substitute in the practical life. This assumption has been taken to prove the marginal productivity of various factors equal while it is not so.

2. **Factors Are Not Perfectly Mobile:** Another assumption of the theory is that the factors are easily mobile amongst different uses and places. The labour and capital are not easily labour mobile form one place to other and from one the other use. If this mobility becomes difficult the marginal productivity of the factors can't be equal.

3. **Unit of Factors Are Not Homogeneous:** In accordance with this theory, all the units of a factor are homogeneous therefore, no unit is better or worse than other. Neither productivity. This is the reason that the marginal productivity of the factor can't be known.

4. **Diminishing Returns Can be Delayed in Industry:** Theory of Marginal Productivity depends on the applicable of law of Diminishing Marginal Returns, In other words, If any factor is added disproportionately, the total production will increase with the diminishing rate. It should be noted that the application of Diminishing Returns can be suspended for a long time in the industry as against in agriculture.

5. **Productivity And Price Are Interdependent:** According to this theory, the price (reward) of the factor depends on its Marginal Productivity. In other words, both are independent. In the practical like not only reward is determined by the Marginal productivity but marginal productivity is also determined by the rewards.

6. **Employment Does Not Depend On Low Wages:** According to Keynes this theory emphasizes that the wages should be lowered down to increase the level of employment sot that the marginal productivity may be equated with the society as a misleading idea. This could be correct for an individual firm not for the society as a whole. The level of employment (higher or lower) depends on aggregate and Effective Demand.

b. All the goods and services, for estimating the gross national product, should be included which are produced during a year but once only. It should also be remembered that only those goods are produced in the gross national income of a country which are at the final stage of production or which are 'finished goods.' In other words, the transactions concerning to the semi-processed goods are not included in this concept. Another important thing to be kept in view it has 'non-productivity transactions' are also not included in the Gross National Product which include old age pension, presents, donations etc.

The goods which are produced by the following are included in the concept of Gross National product:

Agriculture, forestry, fishing, manufacturing , mining, utilities, transport, distribution, insurance, banking, finance, houses, services rendered by the local bodies, services provided by the domestic servants, net income from abroad, other services and appreciation in the stocks.

2. Net National Product (NNP): Net National Product is the other important concept of national income. for producing the gross product, we acquire capital goods to utilize like tools, implements, machines etc. The machines or the capital goods are depreciated during their use. In other words, their value is depreciated. The decrease in the value of 'Depreciation'. It depreciation is deducted from the Gross product, the remainder is termed as Net 'National Product.' in other words:

"Net National product is the market value of eh goods and services which is left after deducting the depreciation costs."

This is the reason that NNP is called 'National Income at market prices'. because:

NNP or National Income at market price = GNP – Depreciation

3. Personal Income (PI): Personal income is the aggregate of all the income which are received to the individuals in a country during a particular year. It should be noted at this stage that this aggregate to the individual incomes is different than the National income because a part of the income which is no doubt, produced but it is not available to the individual like social security money, coprorate income, taxes and undistributed profits of joint stock companies.

Moreover, some incomes are received by the people but they are not produced during the same year like old age pension, unemployment allowances, interest paid on public loans or receipts in aid.

For knowing personal income (actually received by the people) from the National income (actually produced), these amounts (social security amounts, pension, interest on public loans, unemployment allowances etc) should be deducted and the incomes should be which have not been received to the people. Thus:

PI = NI – (amount consumed on social security schemes, corporate income, taxes, undistributed profits) + Transfer earnings.

4. Disposable Personal Income (DPI): If the personal taxes like income tax, property tax etc. are deducted from the total Personal Income received, the remainder is called Disposable Personal Income. Thus: